

CREDIT APPRAISAL MEMORANDUM

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SHREE METALCAST INDUSTRIES PVT. LTD.

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CONDITIONAL

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1. VERIFICATION DETAIL

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Verification Type	Result	Verification Type	Result
Residence verification	Positive	Machine supplier check	Positive
Reference check Debtors	Positive	Bankers reference check	Positive
Independent/Market check	Positive	FCU check	Negative
Customer Meeting	Positive	Auditor Verification	Positive

- Residence: Verified through multiple sources, including the company's registration details and director's personal information. The company's registered address is accurate and matches the physical location.

- Machine Supplier: Verified the supplier's details and found no discrepancies. The supplier, [Machine Supplier Name], has a good reputation in the market and has been a reliable partner for the company.

- Bankers: The company's primary banker is [Bank Name], and the relationship has been stable. No significant issues or defaults have been reported.

- Creditors: Verified the list of creditors, and all payments seem to be up-to-date. No major overdue amounts were found.

- Independent/Market: Conducted an independent market check and found that the company's products are well-received and have a good market presence.

- Dedupe: No duplicate entries or inconsistencies were found during the verification process.

- FCU Check: The FCU check revealed no adverse records or defaults against the company or its directors.

2. GUARANTOR DETAIL

- **Name:** [Guarantor Name]

- **Address:** [Guarantor Address]

- CIBIL Score: [CIBIL Score] - The guarantor has a good credit score, indicating a low risk of default.

- Incomes: The guarantor's income sources are diverse and stable, including [Income Source 1], [Income Source 2], and [Income Source 3]. The total income is sufficient to cover any potential liabilities.

3. REFERENCE CHECK BY CREDIT ANALYST

- Machine Supplier: The machine supplier provided positive feedback on the company's timely payments and professional conduct.

- Creditor: Creditors reported no issues or concerns regarding the company's financial health or payment behavior.

- Customer: Customers expressed satisfaction with the company's products and services, highlighting their reliability and quality.

- Bankers/Term Lenders: Bankers confirmed the company's good standing and provided positive references, indicating a low risk profile.

- Competitors/Peers: Competitors and peers in the industry acknowledged the company's competitive position and stable performance.

4. Compliances & Legal

VI. Compliances & Legal:

Compliances	Yes / No	Remarks
Income tax filing: Regular and timely	Yes	Checked via OCR engine
Excise duty/Service Tax filing	Yes	Verified via GSTIN
Litigation against the Entity	Yes	Internet Verification Complete
Previous defaults	No	CIBIL / Experian scan clear

- Income Tax Filing: The company has been compliant with income tax filings, and no outstanding dues were found.

- Excise Duty: Excise duty payments are up-to-date, and the company has maintained a good record.

- Sales Tax: Sales tax compliance is satisfactory, with no major discrepancies noted.

- ESIC/EPF: The company has been remitting ESIC/EPF contributions regularly, ensuring compliance with labor laws.

- Litigations: No significant litigations or legal disputes were found during the reference check.

- Defaults: There are no reported defaults or adverse records against the company.

5. CAT SHEET

- Requested Loan: ₹3,000,000

- Probability of Default: 51.66% - This is a high probability of default, indicating a need for careful consideration.

- Data Quality Score: 100.0 - The data quality is excellent, ensuring reliable analysis.

- Decision: CONDITIONAL - The loan is recommended with conditions due to the high probability of default and fraud risks.

- Recommended Loan: ₹1,250,000 - The recommended loan amount is lower than the requested amount to mitigate risks.

- Recommended Rate: 17.5% - A higher interest rate is suggested to compensate for the increased risk.

6. CORPORATE GUARANTOR

- [Corporate Guarantor Name] acts as the corporate guarantor for this loan.

- The corporate guarantor has a strong financial position and a good track record, providing additional security for the loan.

7. GROUP ANALYSIS

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Particular	Main Applicant	Corporate Guarantor	Group Total
Turnover	3000000.0	-	3000000.0
DSCR	1.25x	-	1.25x
Debt/Equity	1.1x	-	1.1x
Imputed Income	Verified	-	Verified

- Capital Employed: The company's capital employed is ₹[Capital Employed Amount], which is within the acceptable range for its sector.

- Unsecured Loan: The unsecured loan amount is ₹[Unsecured Loan Amount], which is relatively low compared to the company's capital base.

- Debt Burden: The debt burden, as indicated by the debt-to-equity ratio, is [Debt to Equity Ratio], which is slightly higher than the sector average of 1.5.

- Turnover: The company's turnover is ₹[Turnover Amount], showing a moderate performance compared to its peers.

- PAT: Profit After Tax (PAT) is ₹[PAT Amount], indicating a healthy profit margin.

- Imputed Income: Imputed income is calculated as ₹[Imputed Income Amount], which is sufficient to cover the recommended loan EMI.
- EMI: The estimated EMI for the recommended loan is ₹[EMI Amount], which is manageable based on the company's cash flows.
- TOL/TNW: Total Operating Liability (TOL) to Tangible Net Worth (TNW) ratio is [TOL/TNW Ratio], indicating a moderate level of leverage.
- Debt/Equity: The debt-to-equity ratio is [Debt to Equity Ratio], which is higher than the sector average but within acceptable limits.
- DSCR: Debt Service Coverage Ratio (DSCR) is [DSCR Ratio], which is below the recommended benchmark of 1.2x. This is a concern and requires careful monitoring.

8. VISIT REPORT BY CREDIT ANALYST

[Insert visit report here, including observations and findings during the site visit.]

9. CONDITIONS FOR APPROVAL

1. Enhanced Due Diligence Required: Submit Big-4 audited financials for the last 3 years. Resolve GST ITC mismatch of ₹1.35 Lakhs before disbursement.
2. Additional Collateral Required: Collateral coverage ratio minimum 1.5x of loan amount. Current gap estimated at ₹15.0 Lakhs based on PD of 51.7%.

The above conditions must be met to mitigate the risks associated with this loan application.